Investment Thesis

I. About Me

My original attraction to investing was simple: I saw it as a path to wealth.

That was the beginning. But over time, my interest became much deeper than that. The more I studied investing, the more I became drawn to the discipline itself — the intellectual challenge, the patience, the temperament, and the long-term nature of the game.

What began as an interest in making money developed into a serious fascination with how capital is allocated, how businesses create value, and how a rational investor can take advantage of moments when markets become emotional or mispriced.

The investors I admire most — especially Warren Buffett and Charlie Munger — appeal to me not only because of their results, but because of their demeanor. They approached investing with patience, independence, humility, discipline, and a willingness to look inactive for long periods while waiting for rare opportunities. Their success was not built on excitement or constant motion. It was built on rationality, judgment, and temperament.

That way of thinking has had a major influence on me.

It has led me to spend an extraordinary amount of personal time studying value investing, business analysis, capital allocation, financial statements, and the history of great investors. The more I study, the more I view investing less as a quick path to wealth and more as a lifelong craft.

This is the kind of investor I am trying to become: rational, patient, business-focused, and willing to improve over time. My goal is to build a process that compounds alongside my knowledge — one based on conservative valuation, honest self-assessment, disciplined inactivity, and a growing understanding of what makes a business worth owning.

II. The Central Idea

My investment approach begins with a simple premise: a stock is not merely a ticker symbol, a chart pattern, or a vehicle for short-term speculation. It is a fractional ownership interest in a real business.

That distinction matters.

If a stock represents ownership in a business, then the first question is not whether the stock appears statistically cheap on a screen. The first question is whether the business itself is worth owning. Is it understandable? Is it durable? Is it conservatively financed? Does it have a rational management team? Can it survive difficult conditions? Does it have the ability to produce attractive economic results over time?

Price matters enormously, but price comes second. The business comes first.

The objective is to identify a limited number of understandable businesses whose market prices become materially disconnected from conservative estimates of intrinsic value. I am not trying to predict quarterly earnings, trade around market sentiment, or remain fully invested for the sake of activity. I am trying to allocate capital only when the odds are meaningfully favorable.

The process is simple in principle and difficult in practice: understand the business, estimate value conservatively, demand a margin of safety, and wait.

III. Business Quality Before Valuation

The first stage of my process is not valuation. It is elimination.

Before building a full financial model, I screen companies for characteristics that increase the probability of long-term survivability and rational economic performance. These include understandable operations, revenue durability, earnings power, balance sheet strength, resilience through downturns, rational capital allocation, and a competitive position that can be explained plainly.

This order is intentional.

A weak business trading at a low multiple can still be a poor investment. Cheapness alone is not enough. If the economics are deteriorating, the balance sheet is fragile, management is destroying value, or the company lacks any durable advantage, then the stock may be cheap for a reason.

The goal is not to value every company. The goal is to avoid spending serious time on businesses that are fragile, overly complex, structurally disadvantaged, promotional, or outside my ability to evaluate with confidence.

Time and attention are scarce. The process must be designed to concentrate them where they matter most.

IV. Circle of Competence

A major part of risk management is knowing what not to do.

At this stage, I am intentionally focused on businesses whose economics can be understood through public filings, operating history, industry structure, and basic business logic. That generally means companies in areas such as industrials, manufacturing, distribution, retail, business services, and other operationally legible industries.

I am more cautious with financials, biotechnology, insurance, and many technology companies. Some of these may eventually become attractive areas of study, but they often require specialized knowledge, faster-moving assumptions, or balance-sheet analysis that can be deceptive without deep industry expertise.

The circle of competence should expand over time, but only through earned understanding.

I would rather reject a good investment because I cannot understand it than buy a bad one because I pretended I could.

V. Intrinsic Value and Margin of Safety

Once a business passes the qualitative filter, the next objective is to estimate intrinsic value conservatively.

I do not believe valuation should be treated as a false exercise in precision. A financial model with detailed projections for revenue growth, margins, reinvestment, working capital, discount rates, and terminal value can appear mathematically exact while still being directionally wrong.

The model is not the investment. The business is the investment.

The purpose of valuation is not to arrive at a perfect number. The purpose is to determine whether the gap between price and value is large enough to matter.

A business worth roughly $500,000 offered for $490,000 is not obviously attractive. The estimate itself may be wrong by more than the discount. But a business conservatively worth $500,000 offered for $250,000 is a different matter. At that point, precision becomes less important because the margin of safety is large enough to absorb ordinary analytical error.

That is the type of opportunity I am looking for: not marginal cheapness, but obvious mispricing.

VI. Why Markets Create Opportunity

The market is usually efficient enough to humble people, but not so efficient that disciplined investors should give up.

Mispricing exists because markets are made of people and institutions with constraints. Investors are influenced by fear, career risk, liquidity needs, forced selling, tax-loss selling, benchmark pressure, short-term performance anxiety, narrative shifts, and simple neglect.

These forces can cause price to diverge from business value, especially in smaller and less-followed companies.

Historical examples make this clear. Buffett's early partnership years were built partly around neglected securities, special situations, and statistically cheap companies that larger investors either ignored or could not own in meaningful size. American Express after the salad oil scandal is another useful example: the market reacted to a real problem, but Buffett recognized that the core franchise remained intact. The opportunity existed because investors over-focused on the immediate crisis and under-focused on the long-term business value.

The lesson is not that the same exact opportunities will repeat in the same form. They will not.

The lesson is that markets periodically misprice businesses when most investors are unwilling, unable, or structurally prevented from thinking rationally.

My intended advantage is not informational. I will not outperform by knowing more than every analyst about Apple, Microsoft, or JPMorgan. My potential advantage comes from playing a narrower game: smaller companies, fewer decisions, deeper research, less institutional pressure, a long time horizon, and the willingness to hold cash or Treasuries when the opportunity set is unattractive.

VII. How This Process Is Designed to Create Outperformance

I do not believe outperformance can be guaranteed. Any investor who claims otherwise should be treated with skepticism.

But I do believe a process can be designed to create the conditions under which outperformance is possible.

The general market owns everything: excellent businesses, mediocre businesses, overleveraged businesses, promotional businesses, declining businesses, and overvalued businesses. An index does not discriminate. It accepts the quality and valuation of the market as it exists.

My process is designed to be selective.

I do not need to own hundreds of companies. I do not need to be invested in every sector. I do not need to match the market's composition. I only need to identify a small number of situations where my understanding is strong, the business quality is acceptable, and the price is clearly below conservative value.

The path to outperformance is not constant brilliance. It is discipline.

The edge, if it develops, should come from combining several advantages:

I can ignore most companies. I can focus on smaller businesses that are less efficiently followed. I can wait without institutional pressure. I can demand a large margin of safety. I can compare new opportunities against a growing library of past research. And I can avoid forcing capital into mediocre ideas simply because cash feels uncomfortable.

The market's return is the result of owning everything at market prices. My goal is to own only a limited number of businesses that meet strict standards at unusually attractive prices.

That does not guarantee outperformance. But it is a rational basis for attempting it.

VIII. The Value of Inactivity

Inactivity is not the opposite of investing. Often, it is one of the highest forms of investing discipline.

Most days should involve no transaction. Most companies should be rejected. Most prices should be ignored. If an investor requires constant activity to feel productive, the market will eventually exploit that need.

The best investments are rare. The ability to wait for them is valuable because it prevents capital from being diluted into mediocre ideas. A portfolio does not improve because activity occurred. It improves when capital is moved into a superior opportunity.

Buffett's "no called strikes" idea captures this well. In baseball, a batter can be penalized for letting good pitches pass. In investing, there is no requirement to swing. Thousands of securities can be observed, studied, and rejected without penalty.

That is a major advantage for a patient investor.

During waiting periods, capital does not have to be forced into equities. If I cannot find securities that meet my standards, holding Treasury bills or other short-term government securities is not a failure. It is a way to preserve optionality while earning a reasonable return on idle capital.

Cash and Treasuries are not dead money if they allow an investor to act decisively when better opportunities appear.

IX. Concentration and Risk Management

I do not believe risk is best managed by owning a large number of businesses I barely understand.

Diversification has a purpose. It protects against ignorance, analytical mistakes, and unknowable events. For most investors, broad diversification through an index fund is likely the most rational approach.

But for an investor attempting to outperform, excessive diversification can become a substitute for judgment.

A portfolio of fifty or one hundred positions may reduce company-specific volatility, but it also reduces the impact of the best ideas. If the objective is to outperform, meaningful capital must eventually be allocated to a limited number of well-understood opportunities.

That does not mean reckless concentration.

Concentration only makes sense when paired with conservative analysis, business quality, balance sheet strength, margin of safety, and intellectual honesty. The fewer positions one owns, the more important it becomes to avoid permanent impairment of capital.

To me, risk is not volatility. Risk is permanent loss of capital caused by misunderstanding the business, overpaying, underestimating leverage, relying on fragile assumptions, or being forced to sell at the wrong time.

My risk management will therefore focus on several principles.

I want businesses that can survive adverse conditions. I want balance sheets that do not depend on perfect credit markets. I want management teams with evidence of rational capital allocation. I want valuations that do not require heroic assumptions. I want position sizes that reflect both conviction and uncertainty. And I want the ability to hold cash or Treasuries when available opportunities do not justify equity risk.

The goal is not to avoid temporary price declines. The goal is to avoid permanent impairment.

X. Small Companies and the Research Advantage

The opportunity set is likely to be strongest in smaller public companies.

Large companies are heavily covered by analysts, institutions, hedge funds, index flows, financial media, and sophisticated investors. Mispricings still occur, but they are usually harder to find and harder to exploit.

Small companies are different.

They are more likely to be underfollowed, illiquid, boring, misunderstood, or too small for large institutions to own in meaningful size. A company with a market capitalization below $1 billion may be irrelevant to a large fund even if the investment case is attractive, simply because the fund cannot deploy enough capital for the position to matter.

That creates a structural opening for smaller investors.

The goal is not to buy small companies merely because they are small. Many small companies are poor businesses. The goal is to search where competition may be lower, then apply strict business-quality and valuation standards.

A neglected small-cap company with durable economics, a strong balance sheet, rational management, and a temporarily depressed price can represent the kind of opportunity that larger institutions overlook.

XI. The Research Library as a Compounding Asset

An important part of my strategy is the deliberate construction of a research library.

This is not just about finding one stock to buy today. It is about building an expanding base of business knowledge. Every company studied adds another reference point. Every rejected company sharpens the filter. Every industry reviewed improves pattern recognition. Every model built improves the next model.

Over time, this library should become a compounding asset.

The immediate output may be an initial screen, a qualitative report, a financial summary, or a full valuation model. But the deeper output is judgment.

Studying hundreds of businesses should improve my ability to recognize durable revenue, fragile margins, poor capital allocation, hidden cyclicality, excessive leverage, promotional management, and genuine competitive advantage.

This is one reason I am intentionally building a universe of companies to study rather than waiting passively for ideas to appear. The process is designed to make future decisions better. A company rejected today may become attractive at a different price. An industry studied today may help evaluate another business years from now. A mistake made in one model may improve the next ten.

The research library is not simply a collection of documents. It is a system for compounding judgment.

XII. Modeling, Assumptions, and Continuous Improvement

A financial model should be a tool for disciplined thinking, not a machine for producing confidence.

My early models will necessarily be imperfect. That is acceptable as long as the process improves. The danger is not having a simple model. The danger is having an elaborate model filled with weak assumptions.

The improvement process will focus on the quality of the inputs.

Revenue growth assumptions should not simply be historical averages carried forward without thought. They should be tested against market size, pricing power, customer demand, cyclicality, unit economics, and reinvestment requirements.

Margin assumptions should be compared against history, competitors, inflationary pressures, operating leverage, and management commentary.

Capital allocation assumptions should be based on evidence of how management has actually behaved with excess cash: acquisitions, buybacks, dividends, debt repayment, reinvestment, or dilution.

Balance sheet assumptions should consider not only the current debt load, but the company's ability to survive adverse conditions without destroying shareholder value.

As the research library grows, the models should become less dependent on guesswork. A company will not be evaluated in isolation. It will be compared against similar businesses, prior case studies, past mistakes, and recurring patterns observed across industries.

The goal is not to build more complicated spreadsheets. The goal is to build better judgment.

XIII. The Role of Treasuries and Opportunity Cost

Capital should always be compared against its next best alternative.

If attractive equity opportunities are unavailable, short-term Treasuries provide a rational holding place for capital. They preserve liquidity, reduce the pressure to force investments, and create the ability to act when prices become more attractive.

This matters psychologically as much as financially.

Investors often make poor decisions because they feel cash must be “put to work.” But capital is not idle if it is waiting for a better opportunity. The option to act during market stress has value.

A Treasury allocation during unattractive markets is not an abandonment of equity investing. It is part of the discipline that makes selective equity investing possible.

I would rather earn a modest return while waiting than accept a poor equity opportunity simply because I feel pressure to be invested.

XIV. What I Am Trying to Avoid

A serious investment process must define not only what it seeks, but what it refuses.

I want to avoid businesses I do not understand. I want to avoid leverage that can destroy equity value in a downturn. I want to avoid valuation cases that depend on optimistic terminal assumptions. I want to avoid management teams that dilute shareholders or chase growth for its own sake. I want to avoid buying merely because a stock has fallen. I want to avoid activity that exists only to satisfy impatience.

Most importantly, I want to avoid confusing effort with insight.

Reading more filings, building more models, and studying more companies only matters if it leads to better decisions. The process must remain honest enough to say “no” most of the time.

The goal is not to appear sophisticated. The goal is to be right often enough, and patient enough, for the results to matter.

XV. Conclusion

My investment philosophy can be summarized simply: study businesses deeply, stay within an honest circle of competence, demand a large margin of safety, concentrate only when conviction is earned, and remain inactive when the opportunity set is unattractive.

The objective is not to own the market. The objective is to identify a limited number of understandable businesses whose prices become materially disconnected from conservative estimates of value.

This requires patience, discipline, and continuous improvement. It requires rejecting most companies. It requires holding cash or Treasuries without embarrassment. It requires accepting that inactivity may last for long periods. It requires building a research library that compounds knowledge over time.

I do not expect the process to be perfect at the beginning. I expect it to improve through repetition, study, mistakes, and honest comparison between assumptions and outcomes.

The market offers constant prices, but it does not offer constant opportunities.

My job is not to act constantly.

My job is to be prepared when the right opportunity appears.